Note 9 – Income Taxes

The income tax provision (benefit) from operations consists of the following (in thousands):

	December 31,	
	2020	2019
Current		
Federal	$ -	$ -
State	12	32
Total Current	12	32
Deferred		
Federal	-	-
State	-	-
Total Deferred	-	-
Total Income Tax Benefit	$ 12	$ 32

A reconciliation of computed income taxes by applying the statutory federal income tax rate of 21% to income (loss) from operations before taxes to the provision (benefit) for income taxes for the years ended December 31, 2020 and 2019 is as follows (in thousands):

	December 31,	
	2020	2019
Computed income taxes at 21% for 2020 and 2019, respectively	$ (502)	$ (1,118)
(Decrease) increase in income taxes resulting from:		
State and local income taxes, net of federal impact	(72)	(154)
Change in valuation allowance	571	1,298
Stock-based compensation	1	14
Other	14	(8)
Benefit for income taxes	$ 12	$ 32

In assessing the realization of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income, and tax planning strategies in making this assessment.

Based upon the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management recorded a valuation allowance to reduce its net deferred tax assets to zero.

We have a requirement of reporting of taxes based on tax positions which meet a more likely than not standard and which are measured at the amount that is more likely than not to be realized. Differences between financial and tax reporting which do not meet this threshold are required to be recorded as unrecognized tax benefits. This standard also provides guidance on the presentation of tax matters and the recognition of potential IRS interest and penalties. As of December 31, 2020 and 2019, the Company does not have an unrecognized tax liability.

The Company has approximately $28.2 million of net operating losses that will begin to expire in the year 2036.

The components of deferred income taxes for the years ended December 31, 2020 and 2019 are as follows (in thousands):

	December 31,	
	2020	2019
Deferred tax assets		
Reserves and accruals	$ 183	$ 1,040
Amortization	53	(12)
Capital losses and other	13	11
Non-qualified stock option expense	194	182
Loss Carryforwards	7,066	6,897
Total deferred tax assets	7,509	8,118
Valuation allowance	(4,757)	(4,951)
Net deferred tax assets	2,752	3,167
Deferred tax liabilities		
Depreciation	(2,752)	(3,167)
Total deferred tax liabilities	(2,752)	(3,167)
Net deferred tax assets (liabilities)	$ -	$ -

The Company uses significant judgment in forming conclusions regarding the recoverability of its deferred tax assets and evaluates all available positive and negative evidence to determine if it is more-likely-than-not that the deferred tax assets will be realized. To the extent recovery does not appear likely, a valuation allowance must be recorded. The Company recorded a valuation allowance of $4.8 million and $4.9 million as of December 31, 2020 and 2019, respectively.

It is possible that the relative weight of positive and negative evidence regarding the realization of deferred tax assets may change, which could result in a material increase or decrease in the Company's valuation allowance. Such a change could result in a material increase or decrease to income tax expense in the period the assessment was made.

The Company classifies penalty and interest expense related to income tax liabilities as other expense. The Company did not incur any interest and penalties for the years ended December 31, 2020 and 2019, respectively.

The Company files tax returns in various states in the United States, including but not limited to Colorado, Kansas, New Mexico, North Dakota, Oklahoma, Pennsylvania and Texas. The Company's United States federal income tax filings for tax years 2017 through 2020 remain open to examination. In general, the Company's various state tax filings remain open for tax years 2016 to 2020.